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BREAKWAVE ADVISORS

Tanker Shipping

August 13, 2024

Breakwave Tanker Futures Index:	1,167	VLCC Middle East-Asia Spot Rates:	$11.24	Short-term Indicators:	
↑ 30D: 0.4%		↓ 30D: -0.6%		Momentum:	Neutral
↓ YTD: -3.9%		↓ YTD: -15.1%		Sentiment:	Neutral
↓ YOY: -13.6%		↓ YOY: -13.0%		Fundamentals:	Neutral

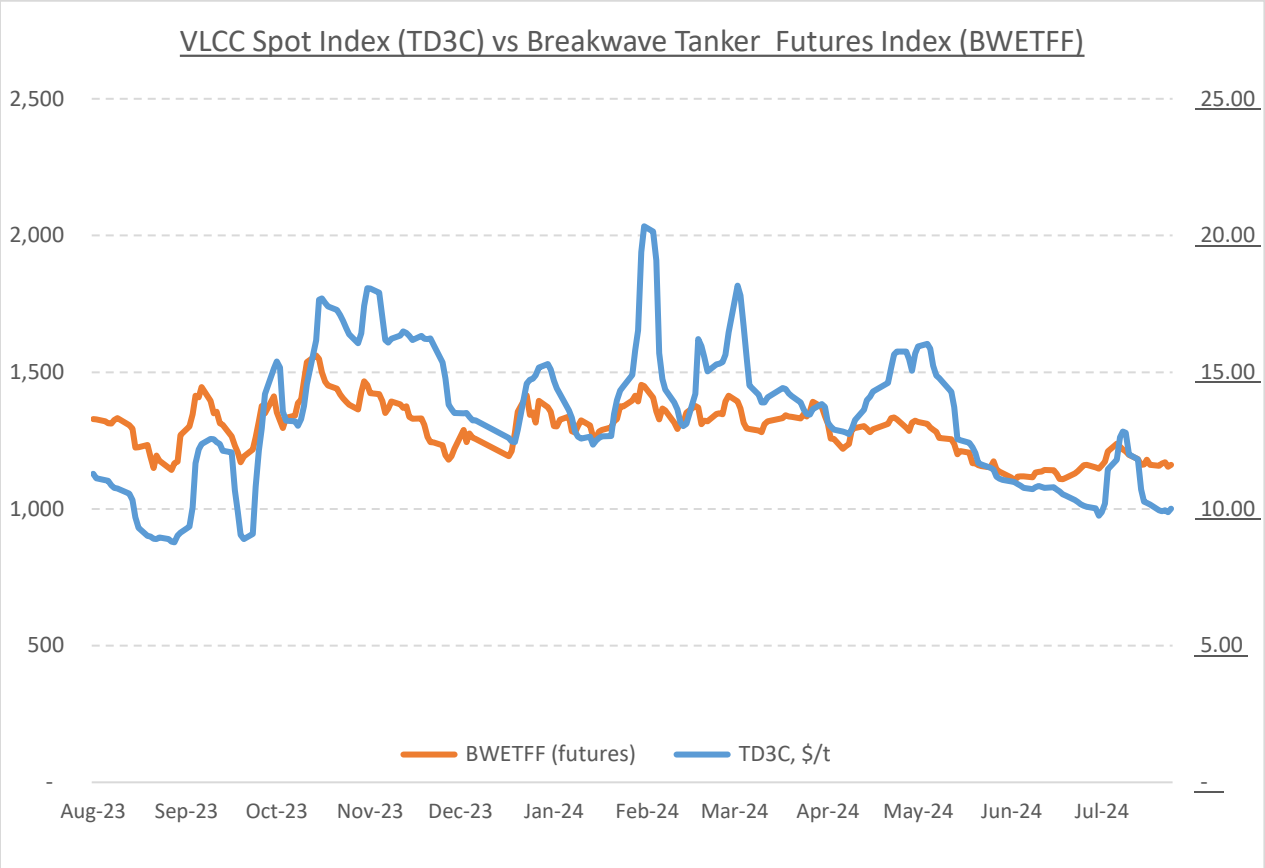
Bi-Weekly Report

- **VLCC Market Back to Year-lows as Activity Slows Down –** The **VLCC market** is once again back to **recent lows** although it seems to be bottoming as the first half of August concludes. Freight rates for the benchmark Middle East Gulf to China route have declined back to levels seen just a month ago prior to the recent temporary rally in spot rates. The current **sentiment** in the first two weeks of August **mirrors** the market conditions experienced during the same period **last year**. However, it is important to note that the summer months typically do not provide a reliable gauge of market trends due to weak seasonality. Additionally, ongoing **geopolitical tensions** are further complicating the outlook for oil prices and future demand in Asia, adding more **uncertainty**. In the Atlantic market, the VLCC sector is also facing challenges, with freight rates for the West Africa to China route remaining subdued. Brokering sources indicate that some fixtures have been arranged off-market, suggesting that official rates may not fully capture the ongoing dynamics. However, the **market remains shaky**, with key indicators still under pressure. **Looking ahead**, there are some **cautiously optimistic** expectations for a potential improvement. A healthier tonnage list seems to be emerging, which could help stabilize the spot and paper markets in the coming days/weeks. If this trend continues, it might provide a much-needed boost to market sentiment, though any recovery will likely be fragile given the broader uncertainties. **Overall**, while the VLCC market in both the Middle East and Atlantic regions is struggling, the interplay of geopolitical tensions, fluctuating oil prices, and evolving Asian demand will be critical in shaping tanker rates with any **potential shift taking place** no earlier than early **fall**.

- **China's Oil Demand Continues to Struggle – China's crude oil imports** in July saw a notable **downturn**, reaching their lowest level since September 2022, according to official customs data. The decline in imports highlights the **ongoing struggles** within China's oil refining sector, which is grappling with a combination of weak processing margins and subdued domestic fuel demand. As a result, **OPEC** recently also **reduced** its quite optimistic **oil demand growth** for 2024, although it still sees 2.1mbpd yoy growth, a sharp contrast to the IEA's 1.0mbpd, even with only five months left to the end of the year. Despite the overall decline in Chinese oil imports, there were reports of additional crude oil purchases in July for storage, likely part of a government initiative to build up state reserves, although indications imply that the volume of these purchases was relatively small and did little to offset the broader decline in imports. **Geopolitical tensions** remain elevated and **support oil prices** despite the relatively bearish fundamentals, but the tanker market is in need of some physical demand indication in order to see stronger spot rates during the coming winter.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand is recovering in line with the global economy. A historically low orderbook combined with favorable demand fundamentals should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should support freight rates in the medium to long term.

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.



Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,390 kbpd	0.9%
Oil Supply, OPEC	26,990 kbpd	-2.8%
Oil Supply, non-OPEC	68,630 kbpd	1.7%
OECD Total Crude Oil Stocks	1087.0 MMbls	-1.0%
US Crude Oil Exports	21.2 MMbls	5.6%
China Oil Imports	317.8 MMbls	-2.5%
Global Crude Oil Floating Storage	66.1 MMbls	-33.8%

Supply		
Tanker Fleet	692.0 mdwt	1.2%

Freight Rates		
VLCC Middle East-Asia, USD/ton	13.34	-9.2%
Suezmax West Africa-Europe, USD/ton	18.59	-12.1%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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